Credit Spread Products

Seminar Module

conducted by

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Credit Spread Forwards and Options

- A Credit Spread derivative is one where the payoff depends on a credit spread
- The Credit Spread is defined as:
  - Absolute credit spread:

    Yield of Credit-Sensitive Asset – Yield of Default-Free Bond

  - Relative credit spread:

    Yield of Credit-Sensitive Asset A – Yield of Credit-Sensitive Asset B

- Credit Spread Forward
  - Payoff is linked to difference between two yields or prices
  - Payoff to each party can be negative or positive
- Credit Spread Option
  - Payoff is linked to difference between spread and a pre-determined strike
  - Payoff to option buyer at maturity can only be positive

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Example CSO Term Sheet

Spread put buyer:	Bank
Spread put seller:	Investor
Credit-sensitive asset:	Corporate Bond
Issuer:	ABC Corporation
Coupon:	7.5% s.a. 30/360
Final maturity:	31 Dec 2029
Reference asset:	US Treasury 6.25% 15 Aug 2029
Reference yield:	Offer yield of reference asset
Credit spread:	Offer yield of ABC *less* Offer yield of Treasury
Current spread:	1.95%
Strike spread:	2.05%

Notional principal:	$10m
Option premium:	1.25% of Notional
Trade date:	5th December 2017
Settlement date:	7th December 2017
Fixing date:	5th December 2018
Exercise date:	7th December 2018
Payment:	Greater of: a) Notional $\times$ ((Y_{ABC} - Y_{TBond})-X) $\times$ DUR b) 0
DUR (Duration):	8

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